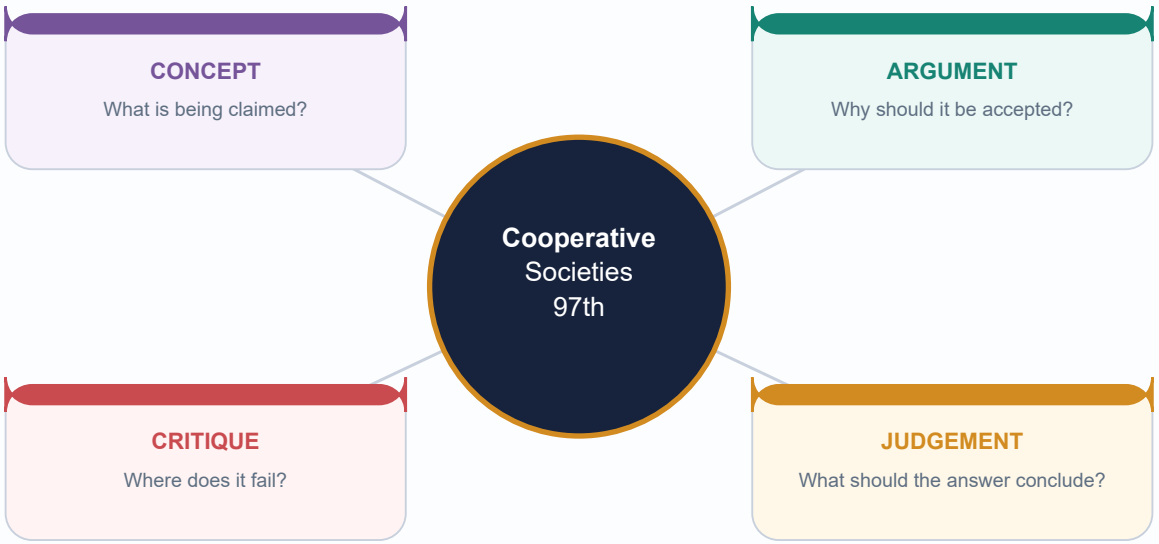
UPSC INDIAN POLITY

Cooperative Societies (97th Amendment) — ADVANCED / COMPLETE Deep-Learning Visual Notes

Indian Polity · GS Paper II · Prelims + Mains
Layer 1: Basic foundation · Layer 2: Advanced constitutional and exam depth
Sources: Cooperative-Societies.md + 39_Cooperative-Societies.md
Learning cards: 26



Facts from official sources | Inferences clearly marked | No fabricated data

HIGH UPSC RELEVANCE

HIGH

Foundation · Core Foundation

GS-II Indian Polity

INTRO & ORIGIN

Subject: Polity · **Tier:** Basic (foundation) · **GS-II**

Foundation learning layer: concepts → constitutional detail → UPSC application.

STATIC THEORY

- □ = from book · □ = current link · □ = mnemonic. *Advanced: optional deeper detail in advanced/39_Cooperative-Societies.md — not required for any mark.*

MEMORY HOOK

□ = from book · □ = current link · = mnemonic. *Advanced: optional deeper detail in advanced/39_Cooperative-Societies.md — not required for any mark.*

MUST-KNOW FACTS

1. = from book · □ = current link · □ = mnemonic. *Advanced: optional deeper detail in advanced/39_Cooperative-Societies.md — not required for any mark.*

MAINS ANGLE

STUDY LINK
Cooperative Societies (97th Amendment) — ADVANCED / COMPLETE → Core Foundation

HIGH

Foundation · Snapshot

GS-II Indian Polity

INTRO & ORIGIN

Structured comparison from the foundation source layer.

KEY DATA

Item	Fact
Amendment	**97th (2011)**
Fundamental Right	**Art 19(1)(c)** — right to form co-operatives
DPSP	**Art 43-B** — promotion of co-operatives
New Part	**Part IX-B**, **Arts 243-ZH → 243-ZT**
SC verdict	**Rajendra N. Shah (2021)** — Part IX-B inapplicable to **State-field** co-ops

MAINS ANGLE

STUDY LINK
Cooperative Societies (97th Amendment) — ADVANCED / COMPLETE → Snapshot

HIGH

Foundation · Core idea

GS-II Indian Polity

INTRO & ORIGIN

The **97th Amendment (2011)** gave co-operatives constitutional status via **three** changes (a **FR**, a **DPSP**, and **Part IX-B**). But co-operatives are a **State subject (Entry 32)**, so in **2021 the SC struck down Part IX-B for state co-operatives** (no state ratification under Art 368) — it **survives only for multi-state** co-operatives.

Foundation learning layer: concepts → constitutional detail → UPSC application.

CORE IDEA: RECALL MAP

Core idea

V

Dimension 1 The 97th Amendment (2011) gave co-operatives constitutional status via three changes (a FR, a DPSP, and Part IX-B). But co-operatives are a State subj	**Dimension 2** □ Three-in-one: FR 19(1)(c) · DPSP 43-B · Part IX-B (243-ZH→ZT).
Dimension 3 □ Part IX-A = Municipalities; Part IX-B = Co-operatives (don't swap!).	**Dimension 4** □ 2021 SC: invalid for State-field co-ops; survives only for the valid multi-State field.

STATIC THEORY

- □ **Three-in-one:** FR **19(1)(c)** · DPSP **43-B** · Part **IX-B (243-ZH→ZT)**.
- □ Part **IX-A = Municipalities**; Part **IX-B = Co-operatives** (don't swap!).
- □ 2021 SC: invalid for **State-field** co-ops; survives only for the valid **multi-State field**.

MEMORY HOOK

Three-in-one: FR 19(1)(c) · DPSP 43-B · Part IX-B (243-ZH→ZT). | Part IX-A = Municipalities; Part IX-B = Co-operatives (don't swap!). | 2021 SC: invalid for State-field co-ops; survives only for the valid multi-State field.

MAINS ANGLE

STUDY LINK

Cooperative Societies (97th Amendment) — ADVANCED / COMPLETE → Core idea

HIGH

Foundation · Must-Know Facts

GS-II Indian Polity

INTRO & ORIGIN

□ Parliament legislates for **multi-state** co-ops; **states** for the rest.

Foundation learning layer: concepts → constitutional detail → UPSC application.

MUST-KNOW FACTS: RECALL MAP

Must-Know Facts

V

Dimension 1 □ Parliament legislates for multi-state co-ops; states for the rest.	**Dimension 2** □ For the surviving Part IX-B field (multi-state co-operatives), board max 21 and
Dimension 3 5-year term; one SC/ST and two women seats apply where the society's individual membership includes those categories. Audit must be completed within s	**Dimension 4** □ Art 19(1)(c) & Art 43-B remain valid after the 2021 verdict.

STATIC THEORY

- □ For the surviving Part IX-B field (multi-state co-operatives), board max **21** and

- 5-year term; one SC/ST and two women seats apply where the society's individual membership includes those categories. Audit must be completed within six months of the financial-year close.

- □ Art 19(1)(c) & Art 43-B remain valid after the 2021 verdict.

MUST-KNOW FACTS

1. Parliament legislates for **multi-state** co-ops; **states** for the rest.

2. For the surviving Part IX-B field (multi-state co-operatives), board max **21** and

3. Art 19(1)(c) & Art 43-B remain valid after the 2021 verdict.

MAINS ANGLE

STUDY LINK

Cooperative Societies (97th Amendment) — ADVANCED / COMPLETE → Must-Know Facts

HIGH

Foundation · □ Current link

GS-II Indian Polity

NEWS TRIGGER

□ The **Ministry of Cooperation** was created in July 2021 — *"Sahakar se Samriddhi."* **Multi-State Co-operative Societies (Amendment) Act, 2023** added a **Co-operative Election Authority**, **Co-operative Ombudsman**, member-facing **Co-operative Information Officer**, concurrent-audit and conflict controls, and a rehabilitation/reconstruction/development fund; new bodies **NCOL / NCEL / BBSSL** and PACS computerisation.

INTRO & ORIGIN

Exam-ready treatment of □ Current link.

Foundation learning layer: concepts → constitutional detail → UPSC application.

MAINS ANGLE

STUDY LINK

Cooperative Societies (97th Amendment) — ADVANCED / COMPLETE → □ Current link

HIGH

Foundation · Answer architecture (10/15/20-mark support)

GS-II Indian Polity

INTRO & ORIGIN

Exam-ready treatment of Answer architecture (10/15/20-mark support).

Foundation learning layer: concepts → constitutional detail → UPSC application.

MAINS ANGLE

Purpose: make this Core file independently answer directive-sensitive GS-II questions on the 97th Amendment, the Rajendra N. Shah verdict, and the federal-competence question over co-operatives — without opening Advanced. Distinguish Constitution text (Art 19(1)(c), 43-B, Part IX-B) from statute (Multi-State Co-operative Societies Act) from a judicial holding from an executive act (the Ministry).

STUDY LINK

Cooperative Societies (97th Amendment) — ADVANCED / COMPLETE → Answer architecture (10/15/20-mark support)

HIGH

Foundation · 5.1 Demand and directive map

GS-II Indian Polity

INTRO & ORIGIN

Structured comparison from the foundation source layer.

KEY DATA

Demand family	Typical directive signals	Answer spine to use
Constitutional status of co-ops	"97th Amendment and co-operatives", Examine	Three changes (FR + DPSP + Part IX-B) → purpose → *Rajendra Shah* limit → verdict
Federalism / competence	"State subject but national vision", Critically examine	Entry 32 State List → Art 368(2) ratification → 2021 verdict → severed field
Autonomy vs regulation	"democratic, autonomous, professional co-ops", Discuss	Art 43-B goals → Part IX-B features → over-regulation critique
Centralisation debate	"new Ministry: revival or centralisation", Comment	Executive act → multi-state statute route → State-subject tension
Governance reform	"co-operative governance deficits", Analyse	Politicisation/mismanagement → 2023 Amendment tools → limits

MAINS ANGLE

STUDY LINK

Cooperative Societies (97th Amendment) — ADVANCED / COMPLETE → 5.1 Demand and directive map

HIGH

Foundation · 5.2 Qualified thesis options

GS-II Indian Polity

INTRO & ORIGIN

The 97th Amendment gave co-operatives constitutional dignity but overreached the Union's competence, so the courts confined its operative framework to the field Parliament could actually legislate for — multi-state co-operatives.

Foundation learning layer: concepts → constitutional detail → UPSC application.

5.2 QUALIFIED THESIS OPTIONS: RECALL MAP

5.2 Qualified thesis options

V

Dimension 1 The 97th Amendment gave co-operatives constitutional dignity but overreached the Union's competence, so the courts confined its operative framework to	**Dimension 2** Co-operation is a State-List subject, so a national co-operative vision must be pursued through persuasion, finance and multi-state law, not by a unif
Dimension 3 Part IX-B's survival for multi-state co-operatives and its fall for State co-operatives is a textbook illustration that a constitutional amendment tou	**Dimension 4** The right to form co-operatives (Art 19(1)(c)) and the duty to promote them (Art 43-B) endure regardless of the 2021 verdict, so the movement's consti

STATIC THEORY

- Co-operation is a State-List subject, so a national co-operative vision must be pursued through persuasion, finance and multi-state law, not by a uniform constitutional code imposed without State ratification.

- Part IX-B's survival for multi-state co-operatives and its fall for State co-operatives is a textbook illustration that a constitutional amendment touching the State List needs Article 368(2) ratification.

- The right to form co-operatives (Art 19(1)(c)) and the duty to promote them (Art 43-B) endure regardless of the 2021 verdict, so the movement's constitutional anchor is intact even where Part IX-B does not reach.

MAINS ANGLE

STUDY LINK

Cooperative Societies (97th Amendment) — ADVANCED / COMPLETE → 5.2 Qualified thesis options

HIGH

Foundation · 5.3 Mark-scaled structures

GS-II Indian Polity

INTRO & ORIGIN

Structured comparison from the foundation source layer.

KEY DATA

Marks	Architecture	Evidence load
10	Thesis → three changes → *Rajendra Shah* limit → verdict	3 units, at least one Article + the case
15	Thesis → 97th Amendment → federal-competence flaw → 2021 severance → executive/statute layer → verdict	5–6 units
20	Thesis → constitutional design → competence and ratification → verdict and severance → Ministry/2023 Act → federalism critique → graded verdict	6–8 units + a "State subject vs national vision" paragraph

MAINS ANGLE

STUDY LINK
Cooperative Societies (97th Amendment) — ADVANCED / COMPLETE → 5.3 Mark-scaled structures

HIGH

Foundation · 5.4 Bank A — The 97th Amendment's three changes

GS-II Indian Polity

INTRO & ORIGIN

Claim: The amendment made forming a co-operative a fundamental right. → **Evidence:** the **97th Amendment 2011** inserted **"or co-operative societies"** into **Art 19(1)(c)**, so the right to form associations or unions now expressly covers co-operatives. → **Significance:** raises co-operative formation to a justiciable freedom. → **Caution:** □ this FR **survived** the 2021 verdict.

Foundation learning layer: concepts → constitutional detail → UPSC application.

5.4 BANK A — THE 97TH AMENDMENT'S THREE CHANGES: RECALL MAP

5.4 Bank A — The 97th Amendment's three changes

V

Dimension 1
Claim: The amendment made forming a co-operative a fundamental right. → Evidence: the 97th Amendment 2011 inserted "or co-operative societies" into Ar

Dimension 2
Claim: It added a Directive Principle to promote co-operatives. → Evidence: Art 43-B — the State shall endeavour to promote the voluntary formation, a

Dimension 3
Claim: It created a dedicated constitutional Part for co-operatives. → Evidence: Part IX-B (Articles 243-ZH to 243-ZT) — board of max 21 directors, fi

STATIC THEORY

- **Claim:** It added a Directive Principle to promote co-operatives. → **Evidence: Art 43-B** — the State shall endeavour to promote the **voluntary formation, autonomous functioning, democratic control and professional management** of co-operatives. → **Significance:** a constitutional policy goal, non-justiciable but directive. → **Caution:** □ Art 43-B is a **DPSP**, not a Fundamental Right.

- **Claim:** It created a dedicated constitutional Part for co-operatives. → **Evidence: Part IX-B (Articles 243-ZH to 243-ZT)** — board of **max 21** directors, fixed **five-year** term, reservation of **one SC/ST and two women** seats where individual membership includes those categories, **audit within six months**, **maximum six-month** board supersession, subject to the separate banking-cooperative ceiling and the no-government-finance protection, and members' right to information. → **Significance:** a uniform governance code for co-operatives. → **Caution:** □ Part **IX-B** = co-operatives; Part **IX-A** = municipalities — do not swap; the Articles are **243-ZH to 243-ZT**, not the 243-G panchayat range.

MUST-KNOW FACTS

1. Claim: The amendment made forming a co-operative a fundamental right. → **Evidence:** the **97th Amendment 2011** inserted **"or co-operative societies"** into **Art 19(1)(c)**, so the right to form associations or unions now expressly covers co-operatives. → **Significance:** raises co-operative formation to a justiciable freedom. → **Caution:** this FR **survived** the 2021 verdict.

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MAINS ANGLE

STUDY LINK

Cooperative Societies (97th Amendment) — ADVANCED / COMPLETE → 5.4 Bank A — The 97th Amendment's three changes

HIGH

Foundation · 5.5 Bank B — Rajendra N. Shah (2021) and the federal-competence argument

GS-II Indian Polity

INTRO & ORIGIN

Claim: Co-operatives are constitutionally a State subject. → **Evidence: Entry 32, State List** — incorporation, regulation and winding up of co-operative societies; **multi-state** co-operatives fall under **Entry 44, Union List** (corporations with objects not confined to one State). → **Significance:** Parliament may legislate only for multi-state co-operatives; States own the rest. → **Caution:** □ this competence split is *why* Part IX-B ran into trouble.

Foundation learning layer: concepts → constitutional detail → UPSC application.

5.5 BANK B — RAJENDRA N. SHAH (2021) AND THE FEDERAL-COMPETENCE ARGUMENT: RECALL MAP

5.5 Bank B — Rajendra N. Shah (2021) and the federal-competence argument

V

Dimension 1 Claim: Co-operatives are constitutionally a State subject. → Evidence: Entry 32, State List — incorporation, regulation and winding up of co-operative	**Dimension 2** Claim: Part IX-B was struck for State co-operatives for want of ratification. → Evidence: Union of India v. Rajendra N. Shah (2021, three-judge Benc
Dimension 3 Claim: The Court saved the multi-state field by severance. → Evidence: applying severability, the majority held Part IX-B survives for multi-State c	

STATIC THEORY

- **Claim:** Part IX-B was struck for State co-operatives for want of ratification. → **Evidence:** *Union of India v. Rajendra N. Shah* (2021, three-judge Bench, 2:1) held **Part IX-B ultra vires insofar as it applies to co-operative societies within a State**, because the amendment was **not ratified by at least half the State legislatures** as **Article 368(2)** requires for a State-List matter. → **Significance:** federalism enforced through the amendment procedure. → **Caution:** only the **State-co-operative application** fell; the amendment was **not wholly struck down**.

- **Claim:** The Court saved the multi-state field by severance. → **Evidence:** applying **severability**, the majority held **Part IX-B survives for multi-State cooperative societies**, including MSCS operations in Union Territories; paragraph 78 rejects blanket application to a society confined within one Union Territory. State-field cooperatives return to **State law**. → **Significance:** the constitutional code now binds only the field Parliament could legislate for. → **Caution:** note the dissent would have struck Part IX-B entirely — cite the majority position.

MUST-KNOW FACTS

1. Claim: Co-operatives are constitutionally a State subject. → **Evidence: Entry 32, State List** — incorporation, regulation and winding up of co-operative societies; **multi-state** co-operatives fall under **Entry 44, Union List** (corporations with objects not confined to one State). → **Significance:** Parliament may legislate only for multi-state co-operatives; States own the rest. → **Caution:** this competence split is *why* Part IX-B ran into trouble.

2. Claim: Part IX-B was struck for State co-operatives for want of ratification. → **Evidence:** *Union of India v. Rajendra N. Shah* (2021, three-judge Bench, 2:1) held **Part IX-B ultra vires insofar as it applies to co-operative societies within a State**, because the amendment was **not ratified by at least half the State legislatures** as **Article 368(2)** requires for a State-List matter. → **Significance:** federalism enforced through the amendment procedure. → **Caution:** only the **State-co-operative application** fell; the amendment was **not wholly struck down**.

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MAINS ANGLE

STUDY LINK

Cooperative Societies (97th Amendment) — ADVANCED / COMPLETE → 5.5 Bank B — Rajendra N. Shah (2021) and the federal-competence argument

HIGH

Foundation · 5.6 Bank C — The statutory and executive layer

GS-II Indian Polity

INTRO & ORIGIN

Claim: Multi-state co-operatives have their own parliamentary statute. → **Evidence:** the **Multi-State Co-operative Societies Act 2002** (under Union-List Entry 44), amended by the **Multi-State Co-operative Societies (Amendment) Act 2023**, which created a **Co-operative Election Authority**, **Co-operative Ombudsman**, member-facing **Co-operative Information Officer** and a **Rehabilitation, Reconstruction & Development Fund**, alongside audit and governance controls. → **Significance:** the operative national framework runs through statute, not Part IX-B alone. → **Caution:** □ the 2023 Act is a **statute** amending the 2002 Act — not a constitutional amendment.

Foundation learning layer: concepts → constitutional detail → UPSC application.

STATIC THEORY

- **Claim:** The Ministry of Cooperation is an executive creation, not a constitutional one. → **Evidence:** the **Ministry of Cooperation** was carved out in **July 2021** (motto "Sahakar se Samriddhi"), earlier handled under Agriculture; new bodies (**NCOL, NCEL, BBSSL**) and PACS computerisation followed. → **Significance:** central push on a State subject through administrative and financial means. → **Caution:** □ it is an **executive/administrative act** (allocation of business), not a law or amendment.

MUST-KNOW FACTS

1. Claim: Multi-state co-operatives have their own parliamentary statute. → **Evidence:** the **Multi-State Co-operative Societies Act 2002** (under Union-List Entry 44), amended by the **Multi-State Co-operative Societies (Amendment) Act 2023**, which created a **Co-operative Election Authority**, **Co-operative Ombudsman**, member-facing **Co-operative Information Officer** and a **Rehabilitation, Reconstruction & Development Fund**, alongside audit and governance controls. → **Significance:** the operative national framework runs through statute, not Part IX-B alone. → **Caution:** the 2023 Act is a **statute** amending the 2002 Act — not a constitutional amendment.

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MAINS ANGLE

STUDY LINK

Cooperative Societies (97th Amendment) — ADVANCED / COMPLETE → 5.6 Bank C — The statutory and executive layer

HIGH

Foundation · 5.7 Mechanism, institutional incentives and consequences

GS-II Indian Polity

INTRO & ORIGIN

□□ **Ratification as a federal safeguard:** the Art 368(2) proviso forces the Union to obtain State consent before amending State-List matters; ignoring it is precisely what doomed Part IX-B for State co-operatives.

Foundation learning layer: concepts → constitutional detail → UPSC application.

5.7 MECHANISM, INSTITUTIONAL INCENTIVES AND CONSEQUENCES: RECALL MAP

5.7 Mechanism, institutional incentives and consequences

V

Dimension 1 □□ Ratification as a federal safeguard: the Art 368(2) proviso forces the Union to obtain State consent before amending State-List matters; ignoring i	**Dimension 2** □□ Governing a State subject nationally: because the Union cannot legislate a uniform code for State co-operatives, it acts through the multi-state st
Dimension 3 □□ Consequence of severance: co-operative governance is now bifurcated — multi-state co-ops under Part IX-B + the 2002/2023 Act, single-state co-ops u	

STATIC THEORY

- □□ **Governing a State subject nationally:** because the Union cannot legislate a uniform code for State co-operatives, it acts through the multi-state statute, central finance, and a dedicated Ministry — persuasion and incentives rather than command.

- □□ **Consequence of severance:** co-operative governance is now bifurcated — multi-state co-ops under Part IX-B + the 2002/2023 Act, single-state co-ops under diverse State laws — producing uneven standards.

MAINS ANGLE

STUDY LINK

Cooperative Societies (97th Amendment) — ADVANCED / COMPLETE → 5.7 Mechanism, institutional incentives and consequences

HIGH

Foundation · 5.8 Criticism, counter-argument, State variation and implementation constraints

GS-II Indian Polity

INTRO & ORIGIN

Centralisation critique: □□ critics argue the new Ministry and the 2023 Act encroach on a State subject and concentrate control at the Centre.

Foundation learning layer: concepts → constitutional detail → UPSC application.

5.8 CRITICISM, COUNTER-ARGUMENT, STATE VARIATION AND IMPLEMENTATION CONSTRAINTS: RECALL MAP

5.8 Criticism, counter-argument, State variation and implementation constraints

V

Dimension 1 Centralisation critique: □□ critics argue the new Ministry and the 2023 Act encroach on a State subject and concentrate control at the Centre.	**Dimension 2** National-vision counter: □□ defenders note co-operatives need scale, credit and clean governance that a national push and multi-state law can provide,
Dimension 3 State variation: □□ single-state co-operatives are governed by differing State Co-operative Societies Acts, so autonomy, audit and election norms vary	**Dimension 4** Implementation constraints: □□ politicisation, mismanagement and elite capture in co-operatives; the 2023 Act's Election Authority and rehabilitation

STATIC THEORY

- **National-vision counter:** □□ defenders note co-operatives need scale, credit and clean governance that a national push and multi-state law can provide, within constitutional limits.

- **State variation:** □□ single-state co-operatives are governed by differing State Co-operative Societies Acts, so autonomy, audit and election norms vary widely.

- **Implementation constraints:** □□ politicisation, mismanagement and elite capture in co-operatives; the 2023 Act's Election Authority and rehabilitation fund address governance but do not resolve the federal-competence limit.

MAINS ANGLE

STUDY LINK

Cooperative Societies (97th Amendment) — ADVANCED / COMPLETE → 5.8 Criticism, counter-argument, State variation and implementation constraints

HIGH

Foundation · 5.9 Verdict scaffolds

GS-II Indian Polity

INTRO & ORIGIN

Constitutional-status verdict: "The 97th Amendment dignified co-operatives with a right, a directive and a Part, but *Rajendra Shah* confined the operative Part to the multi-state field the Union could constitutionally reach."

Foundation learning layer: concepts → constitutional detail → UPSC application.

5.9 VERDICT SCAFFOLDS: RECALL MAP

5.9 Verdict scaffolds

V

Dimension 1 Constitutional-status verdict: "The 97th Amendment dignified co-operatives with a right, a directive and a Part, but Rajendra Shah confined the operat	**Dimension 2** Federalism verdict: "Co-operation is a State subject, so a national co-operative vision is constitutionally legitimate only when pursued through multi
Dimension 3 Reform verdict: "The Ministry of Cooperation and the 2023 Amendment can revive governance and scale, but the durable path runs through cooperative fed	

STATIC THEORY

- **Federalism verdict:** "Co-operation is a State subject, so a national co-operative vision is constitutionally legitimate only when pursued through multi-state law, finance and consent — not a uniform code imposed without Article 368(2) ratification."

- **Reform verdict:** "The Ministry of Cooperation and the 2023 Amendment can revive governance and scale, but the durable path runs through cooperative federalism with the States, not around them."

MAINS ANGLE

STUDY LINK

Cooperative Societies (97th Amendment) — ADVANCED / COMPLETE → 5.9 Verdict scaffolds

HIGH

Foundation · 5.10 Prelims close-option distinctions

GS-II Indian Polity

INTRO & ORIGIN

Structured comparison from the foundation source layer.

KEY DATA

Confusion pair	Correct discrimination
Part IX-A vs IX-B	**IX-A = Municipalities** (74th); **IX-B = Co-operatives** (97th, Arts **243-ZH–243-ZT**)
FR vs DPSP	**Art 19(1)(c)** (FR) adds co-operatives; **Art 43-B** is the **DPSP** to promote them
Which list	Co-operatives = **State List Entry 32**; multi-state co-ops = **Union List Entry 44**
What 2021 struck	Only **Part IX-B's application to State co-operatives** (no Art 368(2) ratification); it **survives for multi-state** co-ops
Was the amendment wholly void?	**No** — Art 19(1)(c) and Art 43-B stand; severance saved the multi-state field
Ministry of Cooperation	An **executive** creation (**July 2021**), not a constitutional/statutory body
Board size / term	**Max 21** directors, **five-year** term (Part IX-B, multi-state field)

MAINS ANGLE

STUDY LINK

Cooperative Societies (97th Amendment) — ADVANCED / COMPLETE → 5.10 Prelims close-option distinctions

HIGH

Foundation · 5.11 Factual-risk and current-status controls

GS-II Indian Polity

NEWS TRIGGER

 97th Amendment 2011: three changes — **Art 19(1)(c)** (FR), **Art 43-B** (DPSP), **Part IX-B (243-ZH–243-ZT)**. *Union of India v. Rajendra N. Shah* (**2021**): Part IX-B **ultra vires for State co-operatives** for want of **Art 368(2)** ratification; **survives for multi-state** co-operatives by **severability**. **Multi-State Co-operative Societies Act 2002** (Union-List Entry 44), amended **2023** (Election Authority, rehabilitation fund) — a **statute**, not an amendment.

INTRO & ORIGIN

 Ministry of Cooperation (July 2021) is an **executive act**; do not describe it as constitutional or statutory.

Foundation learning layer: concepts → constitutional detail → UPSC application.

5.11 FACTUAL-RISK AND CURRENT-STATUS CONTROLS: RECALL MAP

5.11 Factual-risk and current-status controls

V

Dimension 1 □ Ministry of Cooperation (July 2021) is an executive act; do not describe it as constitutional or statutory.	**Dimension 2** □□ Do not say the whole 97th Amendment was struck down, or place co-operatives in the Union List, or call Art 43-B a Fundamental Right.
Dimension 3 □ Governance bodies (NCOL, NCEL, BBSSL) and PACS computerisation are administrative initiatives — verify current status before dating any figures or c	

STATIC THEORY

- □□ Do not say the whole 97th Amendment was struck down, or place co-operatives in the Union List, or call Art 43-B a Fundamental Right.

- □ Governance bodies (NCOL, NCEL, BBSSL) and PACS computerisation are administrative initiatives — verify current status before dating any figures or coverage claims.

MUST-KNOW FACTS

1. Ministry of Cooperation (July 2021) is an **executive act**; do not describe it as constitutional or statutory.

MAINS ANGLE

STUDY LINK

Cooperative Societies (97th Amendment) — ADVANCED / COMPLETE → 5.11 Factual-risk and current-status controls

HIGH

Foundation · Semantic-completeness ownership and PYQ control

GS-II Indian Polity

INTRO & ORIGIN

Exam-ready treatment of Semantic-completeness ownership and PYQ control.

Foundation learning layer: concepts → constitutional detail → UPSC application.

MAINS ANGLE

Federal map: *State-field cooperative societies belong principally to Entry 32, State List and the respective State cooperative law. Corporations whose objects are not confined to one State fall under Entry 44, Union List and the Multi-State Co-operative Societies Act, 2002.* ***97th Amendment:*** *the Constitution (Ninety-seventh Amendment) Act, 2011 inserted cooperative societies into Article 19(1)(c), inserted Article 43B, and added Part IXB, Articles 243ZH-243ZT. It came into force on 15 February 2012.* ***Rajendra N. Shah control:*** *the Supreme Court's 2021 majority invalidated Part IXB insofar as it governed ordinary State-field cooperatives because the amendment lacked State ratification under Article 368(2). Article 19(1)(c), Article 43B and Part IXB's multi-State operation survive; the whole 97th Amendment was not struck down.* ***Part IXB content:*** *within its surviving field it regulates incorporation, board composition and five-year tenure, elections before expiry, supersession limits, audit, returns, offences and member information, subject to the Constitution's own banking and no-government-finance qualifications.* ***Current central statute:*** *the MSCS Act, 2002 as amended in 2023 and the amended rules govern multi-State societies. The 2023 architecture includes a Co-operative Election Authority, Co-operative Ombudsman, Co-operative Information Officer, concurrent-audit controls and the Cooperative Rehabilitation, Reconstruction and Development Fund.* ***Appointments and institutions:*** *the Central Government appoints the Central Registrar under section 4 and constitutes/appoints the statutory central election, ombudsman and other mechanisms under the amended Act. State Registrars derive authority from State Acts. These offices are not the Election Commission of India, RBI or an operating cooperative.* ***Banking overlay:*** *registration under cooperative law and banking regulation are separate. RBI/Banking Regulation Act supervision applies to banking functions; NABARD and financing institutions have distinct roles. A PACS is not automatically a banking company for every legal purpose.* ***Status tests:*** *Daman Singh addresses the statutory character of cooperative membership; Thalappalam holds that registration and ordinary regulatory control alone do not automatically make a society an RTI public authority. Article 12 and Article 226 tests remain fact-sensitive.* ***Current policy control:*** *National Cooperation Policy 2025, launched 24 July 2025, is a policy framework for governance, professionalisation, digitalisation, market linkages, finance, inclusion and sustainability. It does not transfer Entry 32 competence or erase State-law variation.* ***PYQ firewall:*** *adjacent 2020 DCCB, 2021 UCB and 2023 cooperative-production objective demands are retained as cross-owned banking/agriculture routes. No direct Polity Mains PYQ is fabricated.*

STUDY LINK

Cooperative Societies (97th Amendment) — ADVANCED / COMPLETE → Semantic-completeness ownership and PYQ control

HIGH

Advanced · Core Foundation

GS-II Indian Polity

INTRO & ORIGIN

Subject: Polity · **Tier:** Advanced (exam depth) · **GS Paper:** GS-II

Advanced learning layer: concepts → constitutional detail → UPSC application.

CORE FOUNDATION: RECALL MAP

Core Foundation

V

Dimension 1 Subject: Polity · Tier: Advanced (exam depth) · GS Paper: GS-II	**Dimension 2** Grounded in: Indian Polity by M. Laxmikant (97th Amendment section; direct check of the local Sixth Revised Edition PDF) + official court update.
Dimension 3 □ = from source book · □□ = inference / case law · □ = official/court-verified update.	**Dimension 4** Companion: basic/Cooperative-Societies.md.

STATIC THEORY

- **Grounded in:** Indian Polity by M. Laxmikant (97th Amendment section; direct check of the local Sixth Revised Edition PDF) + official court update.

- □ = from source book · □□ = inference / case law · □ = official/court-verified update.

- *Companion: basic/Cooperative-Societies.md.*

MUST-KNOW FACTS

1. = from source book · □□ = inference / case law · □ = official/court-verified update.

MAINS ANGLE

STUDY LINK

Cooperative Societies (97th Amendment) — ADVANCED / COMPLETE → Core Foundation

HIGH

Advanced · PART A — THE 97th CONSTITUTIONAL AMENDMENT ACT, 2011 □□

GS-II Indian Polity

INTRO & ORIGIN

Structured comparison from the advanced source layer.

KEY DATA

#	Change	Provision
1	□ **Right to form co-operative societies** made a **Fundamental Right**	**Article 19(1)(c)** (added "co-operative societies")
2	□ New **Directive Principle** on promotion of co-operatives	**Article 43-B**
3	□ New **Part IX-B "The Co-operative Societies"**	**Articles 243-ZH to 243-ZT**

MAINS ANGLE

STUDY LINK

Cooperative Societies (97th Amendment) — ADVANCED / COMPLETE → PART A — THE 97th CONSTITUTIONAL AMENDMENT ACT, 2011 □□

HIGH

Advanced · PART A — THE 97th CONSTITUTIONAL AMENDMENT ACT, 2011 □□

GS-II Indian Polity

INTRO & ORIGIN

□ Gave **constitutional status & protection** to co-operative societies through **three changes**:

Advanced learning layer: concepts → constitutional detail → UPSC application.

PART A — THE 97TH CONSTITUTIONAL AMENDMENT ACT, 2011 □□: RECALL MAP

PART A — THE 97th CONSTITUTIONAL AMENDMENT ACT, 2011 □□

V

Dimension 1 □ Gave constitutional status & protection to co-operative societies through three changes:	**Dimension 2** □ Part IX-B ensures co-operatives function in a democratic, professional, autonomous & economically sound manner.
Dimension 3 □ Parliament legislates for multi-state co-operatives; State Legislatures for other co-operatives.	

STATIC THEORY

- □ Part IX-B ensures co-operatives function in a **democratic, professional, autonomous & economically sound** manner.

- □ **Parliament** legislates for **multi-state** co-operatives; **State Legislatures** for **other** co-operatives.

MUST-KNOW FACTS

1. Gave **constitutional status & protection** to co-operative societies through **three changes**:

2. Part IX-B ensures co-operatives function in a **democratic, professional, autonomous & economically sound** manner.

3. Parliament legislates for **multi-state** co-operatives; **State Legislatures** for **other** co-operatives.

MAINS ANGLE

STUDY LINK

Cooperative Societies (97th Amendment) — ADVANCED / COMPLETE → PART A — THE 97th CONSTITUTIONAL AMENDMENT ACT, 2011 □□

HIGH

Advanced · Key features of Part IX-B □□ (exam-relevant detail)

GS-II Indian Polity

INTRO & ORIGIN

Board members **max 21**; **fixed 5-year term** for board & office-bearers.

Advanced learning layer: concepts → constitutional detail → UPSC application.

KEY FEATURES OF PART IX-B □□ (EXAM-RELEVANT DETAIL): RECALL MAP

Key features of Part IX-B □□ (exam-relevant detail)

V

Dimension 1 Board members max 21; fixed 5-year term for board & office-bearers.	**Dimension 2** Reservation — one SC/ST and two women seats where the society's individual
Dimension 3 membership includes those categories.	**Dimension 4** Audit within six months; supersession ordinarily cannot exceed six months, while a cooperative carrying on banking business has the separate constitut

STATIC THEORY

- **Reservation** — one SC/ST and two women seats where the society's individual

- membership includes those categories.

- **Audit** within six months; supersession ordinarily cannot exceed six months, while a cooperative carrying on banking business has the separate constitutional ceiling. No supersession applies under the Part IXB text where there is no government shareholding, loan, financial assistance or guarantee.

- Members' **right to information** about the society.

MAINS ANGLE

STUDY LINK

Cooperative Societies (97th Amendment) — ADVANCED / COMPLETE → Key features of Part IX-B □□ (exam-relevant detail)

HIGH

Advanced · PART B — SUPREME COURT VERDICT (the big twist) □□

GS-II Indian Polity

INTRO & ORIGIN

□ ***Union of India v. Rajendra N. Shah*** **(2021)** — the SC (3-judge bench, 2:1) held that **Part IX-B is ultra vires** insofar as it applies to **co-operative societies under STATE legislatures**, because the amendment **was not ratified by at least half the state legislatures** as required by **Article 368(2)** (co-operatives being a **State List — Entry 32** subject).

Advanced learning layer: concepts → constitutional detail → UPSC application.

PART B — SUPREME COURT VERDICT (THE BIG TWIST) □□: RECALL MAP

PART B — SUPREME COURT VERDICT (the big twist) □□

V

Dimension 1 □ Union of India v. Rajendra N. Shah (2021) — the SC (3-judge bench, 2:1) held that Part IX-B is ultra vires insofar as it applies to co-operative soc	**Dimension 2** □ BUT Part IX-B survives for MULTI-STATE co-operative societies (and UTs) — the Court applied the
Dimension 3 doctrine of severability.	**Dimension 4** □□ Net effect: the constitutional framework now binds only multi-state co-operatives; single-state co-operatives revert to the respective state laws.

STATIC THEORY

- □ **BUT** Part IX-B **survives for MULTI-STATE co-operative societies** (and UTs) — the Court applied the

- **doctrine of severability**.

- □□ Net effect: the constitutional framework now binds **only multi-state** co-operatives; **single-state** co-operatives revert to the respective **state laws**.

MUST-KNOW FACTS

1. BUT Part IX-B **survives for MULTI-STATE co-operative societies** (and UTs) — the Court applied the

MAINS ANGLE

STUDY LINK

Cooperative Societies (97th Amendment) — ADVANCED / COMPLETE → PART B — SUPREME COURT VERDICT (the big twist) □□

HIGH

Advanced · UPSC Traps

GS-II Indian Polity

INTRO & ORIGIN

subject; that's *why* Part IX-B needed state ratification.

Advanced learning layer: concepts → constitutional detail → UPSC application.

STATIC THEORY

- **Art 19(1)(c) & Art 43-B survive intact**, and Part IX-B survives for **multi-state** co-ops.

UPSC TRAPS

WRONG: 97th Amendment made "co-operatives" an entry in the Union List

CORRECT: co-operatives are a **State List (Entry 32)**

WRONG: The whole 97th Amendment was struck down

CORRECT: only Part IX-B's application to state co-operatives was struck;

WRONG: Art 43-B is a Fundamental Right

CORRECT: it is a **DPSP** (the FR is **Art 19(1)(c)**).

WRONG: Part IX-B is the Panchayat article range

CORRECT: it is **243-ZH to 243-ZT**.

WRONG: Part IX-A = co-operatives

CORRECT: Part IX-A = Municipalities (74th Amdt); **Part IX-B = co-operatives**.

MAINS ANGLE

STUDY LINK

Cooperative Societies (97th Amendment) — ADVANCED / COMPLETE → UPSC Traps

HIGH

Advanced · □ CA hooks (official/court-verified)

GS-II Indian Polity

NEWS TRIGGER

□ **Ministry of Cooperation** carved out (**July 2021**) with the motto **"Sahakar se Samriddhi"** — earlier co-operation was under the Agriculture Ministry. □ **Multi-State Co-operative Societies (Amendment) Act, 2023** — created a **Co-operative Election Authority**, **Co-operative Ombudsman**, **Co-operative Information Officer** and a **Co-operative Rehabilitation, Reconstruction & Development Fund**, with strengthened audit and governance controls.

INTRO & ORIGIN

□ New national bodies: **NCOL** (Organics), **NCEL** (Exports), **BBSSL** (Seeds); a national **cooperative

Advanced learning layer: concepts → constitutional detail → UPSC application.

STATIC THEORY

- database**; PACS computerisation drive.

MAINS ANGLE

STUDY LINK

Cooperative Societies (97th Amendment) — ADVANCED / COMPLETE → □ CA hooks (official/court-verified)

HIGH

Advanced · Mains angles

GS-II Indian Polity

INTRO & ORIGIN

Exam-ready treatment of Mains angles.

Advanced learning layer: concepts → constitutional detail → UPSC application.

MAINS ANGLE

"Co-operatives are State subjects but need national vision." Examine the 97th Amendment and the 2021 SC verdict through the lens of federalism. The new Ministry of Cooperation: reviving the co-operative movement or centralising a State subject? Governance deficits in co-operatives (politicisation, mismanagement) and reforms under the 2023 Amendment.

STUDY LINK

Cooperative Societies (97th Amendment) — ADVANCED / COMPLETE → Mains angles

End of Register Notes - UPSC Agent / Copilot CLI